भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

RBI/DOR/2025-26/362

DOR.MCS.REC.No.281/01-01-039/2025-26 November 28, 2025

Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025 (Updated as on July 1, 2026)

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In exercise of the powers conferred by sections 45JA, 45L and 45M of the Reserve Bank of India Act, 1934 and all other provisions / laws enabling the Reserve Bank of India (hereinafter called the Reserve Bank) in this regard, the Reserve Bank being satisfied that it is necessary and expedient in public interest so to do, hereby, issues these Directions.

Chapter I – Preliminary

A. Short Title and Commencement

1. These Directions shall be called the Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025.
2. These Directions shall become effective from the date of issuance unless indicated otherwise.

B. Applicability

3. These Directions shall be applicable to following Non-Banking Financial Company (hereinafter collectively referred to as 'NBFCs' and individually as an 'NBFC'), for all layers, unless specified otherwise:
    (1) NBFC-D registered with the RBI under the provisions of the RBI Act, 1934;
    (2) NBFC-ICC registered with the RBI under the provisions of the RBI Act, 1934;
    (3) NBFC-Factor registered with the RBI under the provisions of the Factoring Regulation Act, 2011;
    (4) NBFC-MFI registered with the RBI under the provisions of the RBI Act, 1934;
    (5) NBFC-IFC registered with the RBI under the provisions of the RBI Act, 1934;
    (6) IDF-NBFC registered with the RBI under the provisions of the RBI Act, 1934;
    (7) HFC registered with the RBI under the provisions of the NHB Act, 1987;
4. The provisions contained in Paragraph 98 to Paragraph 100 shall be applicable for NBFC-P2P registered with the RBI under the provisions of the RBI Act, 1934;
5. These Directions are not applicable to the following:
    (1) Mortgage Guarantee Company registered with RBI under the scheme of Registration of Mortgage Guarantee Companies;
    (2) Core Investment Company registered with the RBI under the provisions of the RBI Act, 1934;

(3) NBFC-Account Aggregator registered with the RBI under the provisions of the RBI Act, 1934;

(4) Standalone Primary Dealer registered with the RBI as NBFCs under the provisions of the RBI Act, 1934;

(5) Non-Operating Financial Holding Company registered with the RBI as NBFC under the provisions of the RBI Act, 1934;

(6) NBFCs not having any customer interface.

Note: The applicability under these Directions is in line with the regulatory structure for NBFCs as set out in Reserve Bank of India (Non-Banking Financial Companies – Registration, Exemptions and Framework for Scale Based Regulation) Directions, 2025.

C. Definitions

6. In these Directions, unless the context states otherwise, the terms herein shall bear the meaning assigned to them below:

(1) **Annual Percentage Rate (APR)** means the annual cost of credit to the borrower which includes interest rate and all other charges associated with the credit facility.

(2) **Consumer Credit** shall have the same meaning as defined in XBRL Returns – Harmonization of Banking Statistics dated January 04, 2018, as amended from time to time.**Eligible Collateral** shall have the same meaning as defined in Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025.

(3) **Equated Periodic Instalments (EPI)** mean an equated or fixed amount of repayments, consisting of both the principal and interest components, to be paid by a borrower towards repayment of a loan at periodic intervals for a fixed number of such intervals; and which result in complete amortisation of the loan. EPIs at monthly intervals are called Equated Monthly Instalments (EMIs).

(4) **Jewellery** shall have the same meaning as defined in Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025.

(5) **Key Facts** of a loan agreement between an NBFC / a group of regulated entities and a borrower are legally significant and deterministic facts that satisfy

basic information required to assist the borrower in taking an informed financial decision.

(6) **Key Facts Statement (KFS)** is a statement of key facts of a loan agreement, in simple and easier to understand language, provided to the borrower in a standardised format.

(7) **Loan to Value (LTV) ratio** shall have the same meaning as defined in Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025.

(8) **Microfinance loan** shall have the same meaning as defined in Reserve Bank of India (Non-Banking Financial Companies – Microfinance Institution) Directions, 2025

(9) **Ornaments** shall have the same meaning as defined in Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025.

(10) **Personal Loans,** as referred in paragraphs under Sections D & F of Chapter III, shall have the same meaning as defined in XBRL Returns – Harmonization of Banking Statistics dated January 04, 2018, as amended from time to time.

(11) **Regulated Entities (REs),** for the limited purpose of this Direction, shall mean

(i) Scheduled Commercial Banks (SCBs) / Regional Rural Banks (RRBs) / Local Area Banks (LABs) / All Primary (Urban) Co-operative Banks (UCBs) / State and Central Co-operative Banks (StCBs / CCBs) / Small Finance Banks, Payment Banks and any other entity which has been licenced under Section 22 of Banking Regulation Act, 1949

(ii) All India Financial Institutions (AIFIs)

(iii) Non-Banking Finance Companies and Housing Finance Companies

Chapter II – Institutional Framework

A. Role of Board

7. An NBFC shall have Board approved policies and review mechanisms in place to ensure responsible business conduct. An illustrative list of Board approved policies and the aspects to be covered thereunder is detailed in the paragraphs below.

A.1 Policies

(1) Fair Practices Code, which shall preferably be in the vernacular language, or a language as understood by the borrower.

(2) Grievance redressal mechanism

Note: The grievance redressal mechanism shall ensure that all disputes arising out of the decisions of the functionaries are heard and disposed of at least at the next higher level.

(3) Appropriate internal principles and procedures in determining interest rates and processing, penal and other charges.

Note: The guidelines indicated in the Fair Practices Code about transparency in respect of terms and conditions of the loans shall also be considered.

(4) Lending against gold and silver collateral

(5) Fair Practices Code for lending to microfinance borrowers

(6) Policy on reset of floating rate personal loans including option to borrowers for switch between fixed and floating interest rates

(7) Engagement of recovery agents

(8) Code of Conduct for DSA / DMA / Recovery Agents

A.2 Review

8. The Board of Directors shall also provide for periodical review of the compliance of the Fair Practices Code and the functioning of the grievance redressal mechanism at various levels of management. A consolidated report of such reviews shall be submitted to the Board at regular intervals.

Chapter III – Responsible Lending Conduct

A. Fair Practices Code for NBFCs

9. NBFCs having customer interface shall adopt the guidelines enumerated below:

A.1 Applications for loans and their processing

10. All communications to the borrower shall be in the vernacular language or a language as understood by the borrower.

11. Loan application forms shall include necessary information which affects the interest of the borrower, so that a meaningful comparison with the terms and conditions offered by another lender can be made, and informed decision can be taken by the borrower. The loan application form shall indicate the documents required to be submitted with the application form.

12. An NBFC shall devise a system of giving acknowledgement for receipt of all loan applications. Preferably, the time frame within which loan applications will be disposed of shall also be indicated in the acknowledgement.

A.2 Loan appraisal and terms / conditions

13. An NBFC shall convey in writing to the borrower in the vernacular language as understood by the borrower by means of sanction letter or otherwise, the amount of loan sanctioned along with the terms and conditions including annualised rate of interest and method of application thereof and keep the acceptance of these terms and conditions by the borrower on its record. As complaints received against NBFCs generally pertain to charging of high interest / penal charges, an NBFC shall mention the penalties charged for late repayment in bold in the loan agreement.

14. Borrowers may not be fully aware of the terms and conditions of the loans including rate of interest at the time of sanction of loans, either because the NBFC does not provide details of the same or the borrower has no time to look into detailed agreement. Not furnishing a copy of the loan agreement or enclosures quoted in the loan agreement is an unfair practice and this could lead to disputes between the NBFC and the borrower with regard to the terms and conditions. The NBFC, shall furnish a copy of the loan agreement as understood by the borrower along

with a copy each of all enclosures quoted in the loan agreement to all the borrowers at the time of sanction / disbursement of loans.

A.3 Disbursement of loans including changes in terms and conditions

15. An NBFC shall give notice to the borrower in the vernacular language or a language as understood by the borrower of any change in the terms and conditions including disbursement schedule, interest rates, service charges, pre-payment charges etc. The NBFC shall also ensure that changes in interest rates and charges are effected only prospectively. A suitable condition in this regard must be incorporated in the loan agreement.

16. Decision to recall / accelerate payment or performance under the agreement shall be in consonance with the loan agreement.

17. An NBFC shall release all securities on repayment of all dues or on realisation of the outstanding amount of loan subject to any legitimate right or lien for any other claim they may have against borrower. If such right of set off is to be exercised, the borrower shall be given notice about the same with full particulars about the remaining claims and the conditions under which the NBFC is entitled to retain the securities till the relevant claim is settled / paid.

A.4 General

18. An NBFC shall refrain from interference in the affairs of the borrower except for the purposes provided in the terms and conditions of the loan agreement (unless information not earlier disclosed by the borrower has been noticed).

19. In case of receipt of request from the borrower for transfer of borrowal account, the consent or otherwise i.e., objection of the NBFC, if any, shall be conveyed within 21 days from the date of receipt of request. Such transfer shall be as per transparent contractual terms in consonance with law.

20. In the matter of recovery of loans, an NBFC shall not resort to undue harassment viz., persistently bothering the borrowers at odd hours, use muscle power for recovery of loans, etc. As complaints from customers also include rude behaviour from the staff of the companies, an NBFC shall ensure that the staff is adequately trained to deal with the customers in an appropriate manner.

A.5 Language and mode of communicating Fair Practice Code

21. An NBFC shall have the freedom of drafting the Fair Practices Code, enhancing the scope of the guidelines but in no way sacrificing the spirit underlying the above guidelines. The same shall be put up on its website for the information of various stakeholders.

A.6 Regulation of excessive interest charged by NBFCs

22. The Board of an NBFC shall adopt an interest rate model taking into account relevant factors such as cost of funds, margin and risk premium and determine the rate of interest to be charged for loans and advances. The rate of interest and the approach for gradations of risk and rationale for charging different rate of interest to different categories of borrowers shall be disclosed to the borrower or customer in the application form and communicated explicitly in the sanction letter.

23. The rates of interest and the approach for gradation of risks shall also be made available on the website of the companies or published in the relevant newspapers. The information published on the website or otherwise published shall be updated whenever there is a change in the rates of interest.

24. The rate of interest must be annualised rate so that the borrower is aware of the exact rates that would be charged to the account.

A.7 Complaints about excessive interest charged by NBFCs

25. The Reserve Bank has been receiving several complaints regarding levying of excessive interest and charges on certain loans and advances by NBFCs. Though interest rates are not regulated by the Reserve Bank, rates of interest beyond a certain level may be seen to be excessive and can neither be sustainable nor be conforming to normal financial practice.

A.8 Repossession of vehicles financed by NBFCs

26. An NBFC must have a built-in re-possession clause in the contract / loan agreement with the borrower which must be legally enforceable. To ensure transparency, the terms and conditions of the contract / loan agreement shall also contain provisions regarding:

    (1) notice period before taking possession;